18

ECONOMIC SURVEYS BY THE OECD

ARCHIVES -
RÉFÉRENCES
— DOC' PRÊTÉ —
RETOUR BUREAU 712

NETHERLANDS

I . 2 . B . 2.

APRIL 1963

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS

THE NETHERLANDS

THE LAND

BASIC STATISTICS

Area (1,000 sq.km.)	33.6
Agricultural area, 1962 (1,000 sq.km.)	25.6
Woodland, 1962 (1,000 sq.km.)	2.7

Major cities, 1963 (thousands of inhabitants):

— Amsterdam	867
— Rotterdam	731
— The Hague	604
— Utrecht	261

THE PEOPLE

Population, 1963 (thousand)	11,889
No of inhabitants per sq.km., 1963	354
Net natural increase (average 1956-62)	152,713
Net rate of increase per 1,000 inhabitants (average 1956-62)	13.4
Net emigration (average 1956-62)	2,527
Total labour force, 1961 (men/year)	4,455.000
Wage and salary earners, 1961 (men/year)	3,534.000
Wage and salary earners in agriculture, 1961 (men/year)	109.000
Wage and salary earners in manufacturing industries, 1961 (men-year)	1,205.000

PRODUCTION

Gross national product, 1962 (millions of guilders)	47,150
G.N.P. per head, 1962 (U.S. $)	1,110
Gross fixed investment (average 1957-62) :	
— Percentage of G.N.P.	24
— Per head (U.S. $)	237
Gross national product at factor cost by origin in 1961 :	
— Agriculture	10 %
— Industry and construction	42 %
— Other	48 %
Proportion of home production in food availabilities (average 1956-58)	103

THE GOVERNMENT

Current government expenditure on goods and services, 1961 (percentage of G.N.P.).	28
Current government revenues, 1961 (percentage of G.N.P.)	34
Central government debt, 1962 (percentage of Central Government current revenues).	181

Composition of the Second Chamber:

— Catholic popular party	33 %
— Labour party	32 %
— Liberal party	12 %
— Anti-revolutionary party	9 %
— Christian-historian party	8 %
— Other	6 %

Last elections: 1959
Next elections: 1963

LIVING STANDARDS

Calories per head per day, 1961-62	3,030
Average hourly earnings of workers in industry, April 1962	245 cents
Number of private cars per 1,000 inhabitants, 1962	62
Number of telephones per 1,000 inhabitants, 1962	150
Number of radio sets per 1,000 inhabitants, beginning of 1963	211
Number of T.V. sets per 1,000 inhabitants, beginning of 1963	106
Public expenditure on arts, sciences and post-school education (percentage of national income 1959)	6.51

FOREIGN TRADE

EXPORTS:

Exports of goods and services, including income payments from the rest of the world as a percentage of the G.N.P. (average 1957-62)	52
Main exports in 1962 (percentage of total exports):	
— Machinery and transport equipment	21 %
— Textile products (including clothing)	10 %
— Petroleum products	9 %
— Chemical products	9 %
— Dairy products, eggs, honey	7 %

IMPORTS:

Imports of goods and services, including income payments to the rest of the world as a percentage of the G.N.P. (average 1957-62)	50
Main imports in 1962 (percentage of total imports):	
— Machinery and transport equipment	27 %
— Crude petroleum and products	10 %
— Textiles	10 %
— Chemical products	6 %
— Iron and steel	5 %

THE CURRENCY

Monetary unit: Guilder.

Currency units per U.S. $ 3.6

ECONOMIC SURVEYS BY THE OECD

NETHERLANDS

1963

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the O.E.C.D. shall promote policies designed :

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the O.E.C.D., which came into being on 30th September 1961.

The Members of O.E.C.D. are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

This document was approved
by the Economic and Development Review Committee
in April 1963

CONTENTS

I. THE NETHERLANDS ECONOMY SINCE 1959 5

The supply situation 6

Principal components of demands 9

Internal and external equilibrium 11

Effects of shorter working hours 12

Consequences of the revaluation of the guilder 14

II. THE ECONOMIC POLICY OF THE NETHERLANDS 15

Action on the main items of the Budget 17

Action on the volume of liquidity 19

Wage and price policy 22

Specific measures 27

III. CONCLUSIONS AND RECOMMENDATIONS 28

STATISTICAL ANNEX 31

BLANK PAGE

NETHERLANDS

1. The Netherlands economy, as a whole, is developing favourably. Internal strains due to manpower shortages are lessening, productivity is again growing appreciably and the expansion of production is being sustained and may even be a little faster in 1963 than in 1962. The balance of current payments also shows a slight surplus, which will be maintained and may even increase in 1963. The only shadow in the picture is the recent tendency towards a falling off in productive investment, which nevertheless still represents a substantial proportion of the gross national product.

2. The phase of expansion, which began in the Netherlands at the beginning of 1958, has been affected by two events : the massive reduction in working hours at the beginning of 1961, and the revaluation of the guilder in March of the same year. It is worth trying to draw some lessons from the way in which the Netherlands economy has reacted to these developments. Moreover, since it is a highly outward-looking economy, economic policy must be shaped in such a way as to achieve the internal aims of economic progress and full employment while ensuring that foreign payments are reasonably in balance. Since the obstacles to international trade are being progressively reduced, thus making the Member countries of the Organisation economically more interdependent, it is worth studying the planning and execution of Netherlands economic policy. This report will therefore be divided into two parts : the first part will attempt to show how the Netherlands economy has developed since 1959 and what were the major problems which the authorities have had to solve during the last three years, while the second will deal with the major aspects of the country's economic policy.

I. THE NETHERLANDS ECONOMY SINCE 1959

3. The Netherlands economy, borne along by the fast growth in public and private investment and by rising exports, recorded a rapidly accelerating expansion in 1959 and 1960. The production curve levelled off sharply in 1961. Growth in 1959 and 1960 was easy because at the outset there was large unused production capacity and because the large surplus on the balance of current payments allowed a substantial increase in imports. In 1961, the tightening of the labour market and the reduction

of the current payments surplus to what was already regarded as a low level brought about a state of tension which justified the intervention of the authorities to reduce the pressure of demand : steps had to be taken as early as April 1960 to moderate the growth of private investment, because of the time needed for these steps to take effect. Their effects, already being felt in 1961, were reinforced by the reduction in working hours and the revaluation, about which more will be said later. After the pause in the middle of 1961, expansion again began under more balanced conditions, and since 1962, has continued without undue tension.

The supply situation

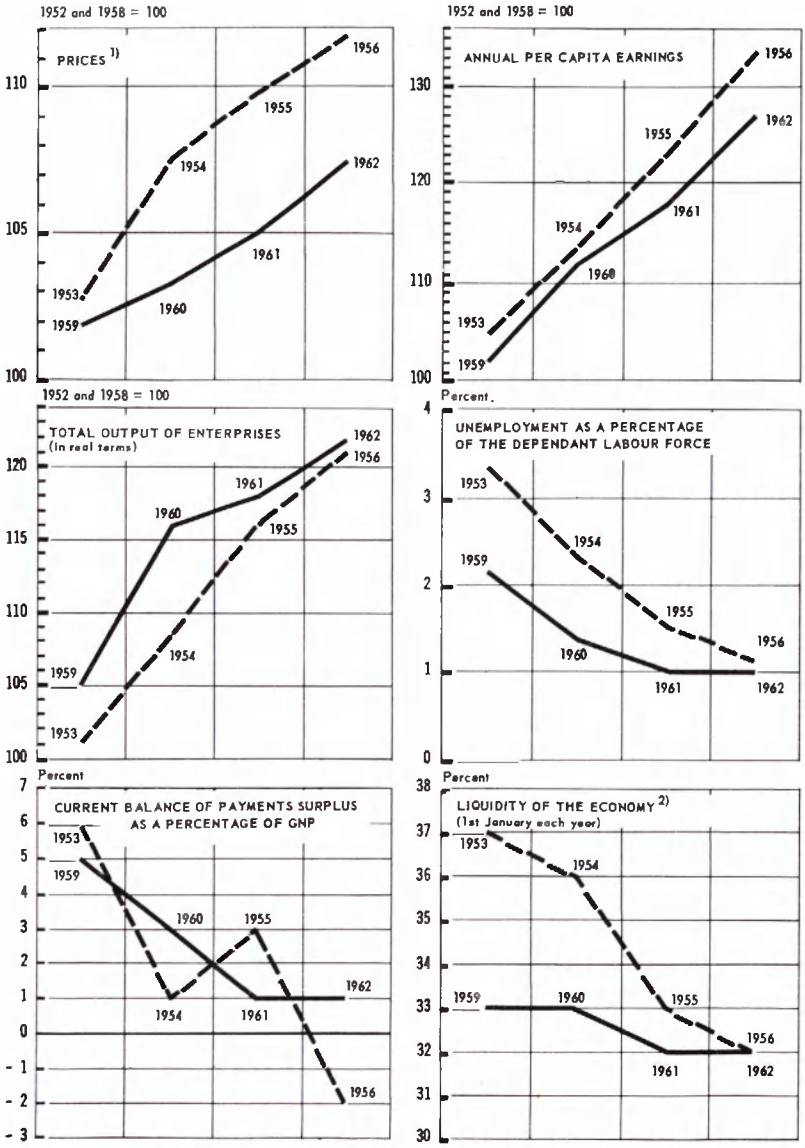
4. In 1958 manpower reserves amounted to 2.9 per cent of the total wage-earners. There was also at that time a large measure of unused production capacity, investment in the Netherlands being relatively high : gross fixed asset formation by enterprises had reached more than 16 per cent of the gross national product in 1956 and 1957, which was a European record. It is therefore not surprising that industrial production was able to increase by 9.0 per cent in 1959 and 11.6 per cent in 1960, and that the figure for all enterprises increased by 5.4 per cent for 1959 and 10.0 per cent for 1960. This result was mainly due to a very large increase in overall productivity of the order of 4 per cent in 1959, 8.5 per cent in 1960 (output per man-year). In 1961, however, the growth in production was much slower : 2.3 per cent for all enterprises. The gross national product showed a slightly larger increase (2.8 per cent), but this was mainly the result of advance repatriation of income from abroad. In 1962, the rate of growth of domestic production recovered (3.8 per cent) and this trend continued in 1963 (4.4 per cent). The outlook for demand, especially consumer goods, is such that the steady growth in industrial production recorded since the middle of 1962 should continue in 1963.

5. The current rate of growth of production does not exhaust existing possibilities, since production capacity, according to the estimates of the Central Planning Bureau, should increase by 5 per cent in 1963 (compared with 4 per cent in 1962) allowing for the foreseeable rise in productivity. Since the third quarter of 1962 the seasonally adjusted figure of unemployed has again begun to rise slightly. It may therefore be expected that manpower reserves will again reach 1.4 per cent of wage-earners in 1963 - virtually full employment by Netherlands standards - whereas in the last two years there has been some over-employment.

6. While progress in manufacturing industry appears on the whole to be satisfactory, the trend in the building industry is less favourable, in consequence there continues to be strong

Diagram 1

THE MOVEMENTS OF SELECTED ECONOMIC INDICATORS
IN TWO PERIODS OF EXPANSION



1. "Autonomous" increase, i.e. excluding the effects of increases in import prices, in taxes, subsidies and rents (rents are subject to official control).
2. The ratio of money and quasi-money in circulation to National Income.

Source : Central Planning Bureau and Ministry of Economic Affairs.

Table 1. TRENDS IN SELECTED ECONOMIC INDICATORS

(Percentage changes compared with the previous year)

	1959	1960	1961	1962 ESTIMATES	1963 FORECASTS
Domestic expenditure by volume	+ 6.0	+10.1	+ 4.4	+ 3.0	+ 4.0
Production (all enterprises)	+ 5.3	+10.0	+ 2.3	+ 3.5	+ 4.5
Industrial production (excluding building)	+ 9.0	+11.6	+ 2.8	+ 3.6	+ 4.5
Unemployment (annual average in thousands)	78	49	35	33	50
Unemployment (as a percentage of the active wage-earning population)	2.2	1.4	1.0	1.0	1.4
Wages per head paid by enterprises	+ 2.1	+ 9.4	+ 5.3	+ 8.0	+ 7.5
Productivity in enterprises (per man-year)	+ 3.8	+ 8.1	+ 0.6	+ 2.0	+ 3.0
Labour costs per unit produced by enterprises	- 1.6	+ 1.2	+ 4.7	+ 5.8	+ 4.4
Consumer prices ...	+ 1.0	+ 2.2	+ 1.6	+ 2.5	+ 2.5
Merchandise exports by volume	+12.1	+14.4	+ 3.1	+ 7.0	+ 7.0
Current balance (billion guilders)	+ 1.8	+ 1.2	+ 0.52	+ 0.50	+ 0.70
Gold and foreign currency assets (expressed as number of months' imports, on 1st January)....	4.7	4.6	4.6	3.8	3.8

SOURCES : Annual reports of the Netherlands Bank and Central Economic Plans.

pressure of demand* and a manpower shortage in this sector. The comparatively slow increase in productivity in building (2.9 per cent per annum on the average from 1950 to 1960 compared with 4.7 in manufacturing industry) is one of the main reasons why building lags behind, although employment has increased faster in this sector than in the rest of industry (2.1 per cent per annum on the average from 1950 to 1960, compared with 1.2 per cent). It had been hoped that building output would increase by 5 per cent in 1963 compared with 3.5 per cent in 1962 and 2 per cent in 1961. But the unfavourable weather conditions, which had already been responsible for a short-fall of about 1 per cent in 1961 and 1962, will certainly prevent the industry from reaching the 1963 targets in the annual Plan. According to the building programmes 90,000 dwellings should be started in 1963 and the number completed should be of the order of 80,000. Quite apart from the social aspects of this question, the shortage of housing is an obstacle to the mobility of manpower. Moreover, since the capacity of the building industry is limited there is a risk of having to choose between construction of dwellings and of factories, and if too high a priority is given to dwellings, there is a danger that industrial investment may suffer.

7. 1961 and 1962 were fairly poor years for agriculture, mainly because of weather conditions. According to the Plan agricultural production should increase by 3 per cent in 1963 after declining by 1 per cent in 1962. It is still too early to say whether these forecasts will need revising as a result of the severe winter of 1962/1963.

Principal components of demand

8. Pressure of demand was already strong in 1959 and became even stronger in 1960, the volume of private consumption rising sharply, mainly as the result of substantial wage increases, at a time when private investment and exports of goods and services were continuing to expand rapidly. But 1960 was an exceptional year and in 1961 demand rose more slowly. The effects of the restrictive measures taken by the authorities and, to a certain extent, of the reduction of working hours in that year, in the absence of which wages would probably have risen more rapidly, were reflected in the level of internal demand, which rose by 4.4 per cent compared with 10.1 per cent in 1960. Exports of goods and services also rose much more slowly (by 3.1 per cent for merchandise exports, compared with 14.3 per cent in 1960) as a result of inelastic supply conditions in certain exporting industries.

* This pressure can be accounted for by the amount of property destroyed during the war, the increase in population and the scale of investment; in addition there is a fairly strict rent control which prevents prices from rising so as to balance supply and demand. Housing standards have in fact improved since before the war - the average number of inhabitants per dwelling was 4.2 in 1940 and is now less than 4.

9. 1962 saw a further falling off in the rate of growth of internal demand. Investment expenditure in the private sector again increased more slowly, a development which can be explained by the shrinking of profit margins, the continued effects of the reduction in 1960 of tax incentives to investment, the withholding of industrial building permits and finally the official limitation of bank credit, at least during the first half of the year. Private consumption expenditure, on the other hand, should have been stimulated by the rapid rise in wages and lower taxation, but the growth in consumption by volume was limited by the rise in retail prices. Finally, exports were able to expand in consequence of the reduction in internal demand and increased production capacity.

Table 2. TREND IN THE COMPONENT OF DEMAND

(Percentage change in volume compared with the previous year)

	1959	1960	1961	1962 ESTI-MATES	1963 FORE-CASTS
Private consumption ...	+ 4.7	+ 6.2	+ 4.4	+ 4.5	+ 4.0
Public consumption	- 1.3	+ 4.9	+ 3.0	+ 3.9	+ 2.2
Private investment	+11.6	+11.4	+ 5.8	+ 4.0	+ 1.0
Public investment	+14.7	+ 5.6	+11.2	+ 9.0	+ 9.5
Exports of goods and services	+11.4	+13.5	+ 3.7	+ 5.5	+ 7.0
Imports of goods and services	+13.8	+17.6	+ 6.8	+ 6.0	+ 6.0
Gross national product ..	+ 5.2	+ 8.3	+ 2.8	+ 3.0	+ 4.5

SOURCES : Statistical bulletins of the O.E.C.D. and the "Centraal Economisch Plan 1963".

10. According to the official forecasts 1963, like 1962, will be marked by a fairly moderate increase in internal demand. The most striking feature is the virtual standstill in private investment. Given that the planned increase in the volume of building cannot be achieved in practice, it is unlikely that investment will increase from 1962 to 1963 by the amount shown in the 1963 Economic Plan; in fact it may even fall slightly. This sluggishness in investment may be attributed to the uncertainties of the world economic situation, surplus production capacity in certain sectors, and the diminishing need for investment in rationalisation with a view to saving labour. Despite this slight decline, the level of investment will remain high.

The present downward trend* does not, therefore, endanger the structural health of the Netherlands economy, but could be disquieting if it were seen as the forerunner of a downturn in the business cycle. There may be a less marked reduction in profit levels in 1963, which would give ground for hoping that investments might improve in 1964. Since, however, some time must elapse before any measures taken to stimulate investment can bear fruit, the authorities are watching the situation closely.

Internal and external equilibrium

11. 1959 and 1960 were marked by an absence of economic strains. Wage increases remained within the limits of increased productivity and the rise in prices was kept within bounds. The reduction in the current payments surplus in 1960 - incidentally quite fortuitous - helped to achieved better equilibrium in international economic relations and the Netherlands authorities, far from seeking to oppose it, welcomed this development.

12. Certain strains emerged in 1961 which had to be kept in check by restrictive measures. The expansion of supply slowed down considerably, but the same was also true of internal demand. The most noteworthy feature was a sharp rise in costs due to substantial wage increases unaccompanied by any increase in productivity. As the rise in domestic prices still remained limited**, and the revaluation of the guilder prevented higher costs from being passed on as higher export prices, there was a marked curtailment of profits which should have its effect on investment in subsequent years***. Finally, the balance of current payments shrank further and the surplus was slightly below the minimum regarded as necessary to offset normal capital exports.

13. While 1962, like 1961, was again marked by a sharp increase in costs caused by wages rising much more than productivity, the strains were lessened by a further slowing down in the expansion of home demand. The rise in consumer prices was slightly more than in 1961 (1.6 per cent compared with 1.5 per cent), but this can be explained by various independent factors : higher rents, higher prices of some agricultural products owing to spells of cold weather extending into the Spring of 1962, and the introduction of the levy system in connection with the European Economic Community. These factors accounted for 1.2 per cent of the rise in consumer prices. The

* If private investment were to remain at the same average annual level in 1963 as in 1962, there would in fact have to be a fall during the course of 1963.

** The revaluation of the guilder caused some fall in the price of imports, but seems to have had little effect on domestic prices.

*** The link which the Central Planning Bureau established between profits and the decision to invest is connected not only with difficulties in financing arising out of a reduction in profit margins, but also with the changed prospects resulting from such reduction.

current payments surplus was virtually unchanged from 1961. The trade deficit was, however, reduced over the year - from 2,470 million guilders to 2,300 - and the balance of payments simply showed a fall in income from abroad which was the counterpart of the advance transfers of income in 1961.

14. According to the official forecast these strains should be further eased in 1963. While wage increases are still fairly large, advances in productivity will limit their effect on costs. Consumer prices will increase by a further 2.5 per cent, mainly as a result of earlier movements. The forecast of a surplus of 700 million guilders on current payments corresponds roughly to what the Netherlands authorities consider desirable and scarcely differs from the actual 1962 surplus.

Effects of shorter working hours

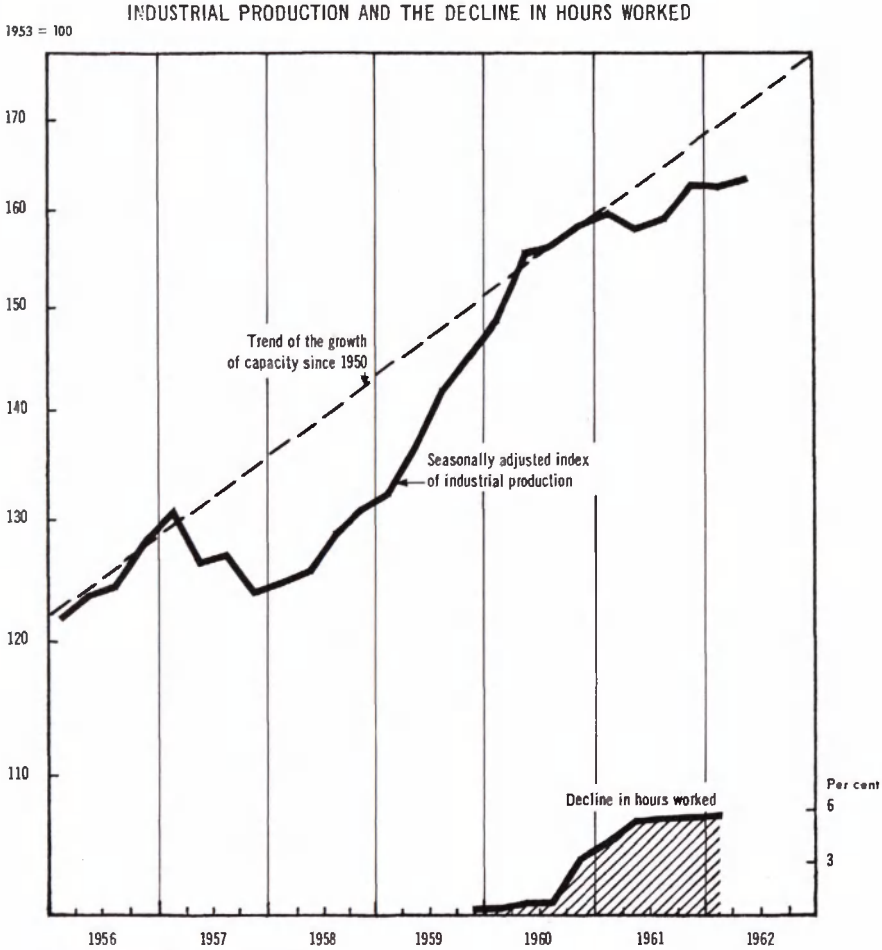
15. The general adoption of a five-day working week at the beginning of 1961 meant a fairly substantial reduction of actual working hours. Between 1959 and 1962 they were reduced by 5.5 per cent over the private sector as a whole and by 6 per cent in the industrial sector. The effects of this reduction are somewhat complex and a separate analysis must be made of the effect on output and the effect on demand.

16. Over the economy as a whole there was a marked slowing down of the rate of increase in output per man-year; there was in fact no increase in 1961, whereas according to the 1962 Central Economic Plan there should normally have been one of 3.6 per cent, and the increase in 1962 was only 2 per cent. During the first months following the reduction of working hours, firms endeavoured to offset the reduction by more intensive working, but given a tightness of the labour market, these hopes were not realised. This development is shown in Table 3 below. The increase in output per man-hour in 1961, while not exceptional compared with the average for the years 1950 - 1960, was considerably higher than during the corresponding period of the previous expansionary phase (1956 and 1957). In 1962 on the other hand output per man-hour increased much more slowly and even declined in some sectors. It must also be pointed out that certain industries which, being more capital-intensive than labour-intensive could have achieved a large increase in output per man-hour, were obliged to refrain from doing so because their customers at a subsequent stage of the production process were more affected by the reduction in working hours.

17. Recovery in terms of a more rapid increase in productivity per man-hour seems on the whole to have been slight, but there was an appreciable compensating increase in employment : in fact the active population increased by 2 per cent in 1961 and 1962. The level of production was nevertheless lower than it would have been if working hours had not been reduced, and this setback does not seem to have been subsequently made up.

Diagram 2

INDUSTRIAL PRODUCTION AND THE DECLINE IN HOURS WORKED



Source : Centraal Economisch Plan 1963.

18. On the demand side, shorter working hours have meant higher business costs; they have thus contributed both to the contraction in the foreign payments surplus and to the fall in profits, which had a marked effect on investment. Moreover the benefit conferred on wage-earners in the form of shorter working hours did not have the stimulating effect on consumption expenditure of the direct wage increase which would probably have occurred if there had been no reduction in hours. It may therefore be taken that shorter working hours are one of the factors contributing to a slower increase in final demand in 1962 and 1963.

Table 3. TREND OF OUTPUT PER MAN-HOUR[1)]

(Percentage changes compared with the previous year)

	1956	1957	1961	1st HALF 1962 / 1st HALF 1961	ANNUAL AVERAGE 1950-1960
Food and drink ..	5.1	1.7	3.8	2.5	3.5
Textiles	6.4	1.7	8.4	1.6	4.8
Clothing, footwear	7.4	0.9	6.5	-4.4	5.4
Metals	0.8	-1.4	4.5	3.9	5.7
Chemicals	4.2	6.9	2.8	1.2	3.4
Pottery	2.7	8.1	4.8	-1.7	3.0
Leather and rubber	4.3	5.1	9.1	2.3	2.8
Paper	-1.0	7.2	2.1	-7.3	4.5
Mining	1.0	2.0	9.8	-2.3	1.0
Industry as a whole	2.9	2.1	4.5	2.2	4.7

1) For 1956, 1957 and 1950-60, including self-employed persons.

SOURCE : "Centraal Economisch Plan 1963".

19. Any judgment on the consequences of shorter working hours must therefore be subject to qualifications. It is true that production did not increase as much as it might have done, but the Netherlands authorities are not wedded to any specific growth rate. Moreover in terms of a welfare economy, the advantage to wage-earners of additional leisure has to be set against that of additional opportunities for consumption. This is a choice which must be recognised.

Consequences of the revaluation of the guilder

20. The guilder was revalued in March 1961 by a small amount only (5 per cent) and the effects of that measure were limited even more by the fact that the DM had just been revalued : merchandise trade with the Federal Republic of Germany represented 23 per cent of all merchandise trade in 1961. The calculations made by the Central Planning Bureau, the results of which were published in the 1962 Economic Plan, did not allow for the latest revaluation. Such calculations are moreover very

uncertain when the variations in the magnitudes under consideration are very small, since there is always some doubt as to whether the point has really been reached at which these variations have a definite effect on the rest of the economy. The calculations of the Central Planning Bureau are nevertheless worthy of study, as they represent a remarkable achievement in quantifying economic mechanics.

21. According to these calculations the repercussions of the revaluation on the volume of exports have been negligible. On the other hand, the exporting industries were obliged to cut their prices, and export prices fell by 4.5 per cent in the first year and 4 per cent in the second. This caused profits in exporting industries to fall, which, as already described, had a certain influence on the level of investment (which fell by 0.2 per cent in the first year and 3 per cent in the second). The revaluation was on the other hand a stimulus to imports (which increased by 1.5 per cent in the first year and 0.5 per cent in the second) for two reasons :

i) the prices of imports fell (by 4.8 per cent over the two years) ;

ii) domestic prices fell (by 1.5 per cent over the 2 years) and this caused consumption expenditure to rise (by 0.6 per cent over the two years).

In all, according to the calculations, domestic economic activity declined slightly : production losses were fl. 90 million in 1960, the first year, and fl. 375 million in the second. The number of unemployed increased slightly in consequence by 4,000 in the first year, and 8,000 in the second. Finally, the surplus of current payments fell by fl. 170 million in the first year and 60 million in the second.

22. Without fresh calculations it is difficult to know whether the forecasts of the Central Planning Bureau have been confirmed by events.* It nevertheless seems that the behaviour of enterprises has largely absorbed the effects of revaluation. The revaluation probably had a certain deflationary effect on the economy, and at the same time contributed to better international equilibrium, but it may be doubted whether these changes were of much importance. In the long term, the new exchange rate has made it easier to protect the Netherlands economy against inflationary pressure from abroad.

II. THE ECONOMIC POLICY OF THE NETHERLANDS

23. The economic policy of the Netherlands is first and foremost to maintain a healthy situation by endeavouring to achieve satisfactory internal and external equilibrium in conditions of

* The actual trend of prices, balance of payments, etc., is of course known, but the influence of the revaluation in these overall results cannot be isolated.

full employment. The Netherlands has not such a clearly defined growth policy as other countries, which have undertaken more or less elaborate development programmes. It is true that the authorities have drawn up industrialisation plans covering five-year periods and that reports on industrialisation are regularly submitted to Parliament. The object of these programmes is to indicate what minimum level of investment is desirable with particular regard to the creation of sufficient new jobs. The Eighth Report on Industrialisation, to be published shortly, will pay greater attention to the question of growth, especially in connection with the target of a 50 per cent growth in G.N.P. in 10 years, adopted by the O.E.C.D. Council. *

24. It could no doubt be said that, in theory, the maintenance of high employment is not enough to ensure a satisfactory growth rate, since equilibrium in conditions of full employment can also be achieved with only small increases in productivity. In practice, in the case of the Netherlands, where 30 per cent of industrial production is exported, and where there is strong though not excessive pressure to improve the standard of living of wage-earners, firms normally have an inducement to invest with a view to raising productivity. ** In consequence the Netherlands authorities rely largely on the private sector for the creation and orientation of productive investment. A number of other aims have also been adopted : fair distribution of incomes, price stability, reduction of housing shortages, and a slight surplus on current payments to offset normal capital exports and maintain gold and foreign currency reserves at a satisfactory level. *** On the last question the Netherlands authorities maintain a fairly flexible attitude and in particular do not seek to preserve a close ratio between the size of the reserves and the level of imports.

25. The document used by the authorities as a basis for defining their economic policy is the annual economic Plan published at the beginning of each year. **** The Plan is based on an econometric model using a fairly large number of variables linked either by definition equations or by relationships worked out econometrically by observation of the results of the years 1923 to 1960. This model is in itself an instrument of forecasting. It is used by the government in making decisions in the

* During the third industrialisation period which came to an end in the middle of 1962, actual investment exceeded the figure in the programme by 15 per cent.

** In addition, the population growth, which is fairly strong in the Netherlands, may be regarded as an incentive to investment in expansion.

*** The surplus of current payments regarded as normal is estimated to be 2 per cent of national income, or at the present time a little more than $ 200 million. This figure does not allow for a possible increase in aid to developing countries, or for the cost of keeping the capital market open if necessary for issues of foreign securities.

**** The authorities also have available abundant documentation and a number of confidential studies supplied by the Central Planning Bureau.

fields of budgetary, monetary and wage Policy and housing. The published version of the Plan contains both a forecast of exogenous developments and of the results of Dutch policy decisions. The Central Planning Bureau is already working on forecasts for 1964.

26. The estimate of the major variables in the model drawn up by the Central Planning Bureau shows clearly what are the main fields in which the authorities are active in the Netherlands : determination of the size of the main items in the Budget, the volume of liquidity and the level of wages. It will be seen that they are essentially concerned with overall figures. Their intervention in matters of detail is more limited and is mainly concerned with building.

Action on the main items of the Budget

27. Besides determining its own budget, the central Government also has some control in practice over local finance, although the municipalities and provinces theoretically enjoy wide financial autonomy. The greater part of the current income of the municipalities comes from the central Government : 13 per cent of the revenue from taxation is set aside for the local authorities to whom it is distributed through the channel of the "municipalities fund", while certain local expenditure, such as that on police and education is a charge on the central budget, which is thus the source of a considerable flow of funds to the municipalities. The municipalities are not entirely free to borrow at will, mainly because their current income must be sufficient to service their debts. A ceiling has been fixed for the interest they may offer on their long-term borrowing, and in consequence they are excluded in practice from the capital market when rates of interest on that market are too high. They may in these circumstances approach the bank for Netherlands municipalities but only with Government authority. Finally, the municipalities and provinces may borrow at short term, but there is also a ceiling on their short-term indebtedness.

28. A study of the trend in public expenditure shows that it has not varied according to the economic situation. Certain increases are inevitable, as was the case with military expenditure in 1962 arising out of events in New Guinea. Similarly it was impossible not to adjust civil servants' salaries to keep pace with the general trend of wages. Investment by the central and local authorities, leaving aside investment in house construction, has also been out of step. In these conditions the bulk of public expenditure can hardly be made to serve as a short-term regulator of the economy. The rule adopted by the Netherlands authorities is therefore simply to keep the long-term upward trend of public expenditure within that of the national income.

29. In view of the graduated rates of taxation, tax revenue should increase appreciably faster than the national income,

Table 4. STIMULATING EFFECT OF PUBLIC EXPENDITURE AND TAX REDUCTIONS[1)]

Millions of guilders at current prices

	1959	1960	1961	1962	1963
1. Subsidies					
Central Government ...	0.38	0.36	0.41	0.29	0.27
Local authorities	0.11	0.14	0.13	0.14	0.13
2. Interest on the public debt					
Central Government	0.53	0.60	0.63	0.65	0.68
Local authorities	0.56	0.65	0.67	0.70	0.74
3. Income transfers					
Central Government	0.50	0.50	0.63	0.62	0.72
Local authorities	0.31	0.28	0.29	0.30	0.30
4. Consumption (excluding depreciation)					
Central Government	2.41	2.72	2.93	3.34	3.58
Local authorities	2.54	2.79	2.97	3.37	3.67
5. Gross investment					
Central Government	0.43	0.51	0.63	0.71	0.78
Local authorities	1.16	1.22	1.34	1.49	1.72
6. Capital transfers					
Central Government	0.60	0.67	0.63	0.66	0.54
Local authorities	0.02	0.03	0.02	0.02	0.02
7. Transfers of capital and income from the Central Government to local authorities	(3.01)	(3,54)	(4.03)	(4.29)	(4.52)
8. Total	9.55	10.47	11.28	12.29	13.15
9. Difference compared with the previous year	-0.10	0.92	0.51[2)]	1.01	0.86
10. Autonomous modifications to fiscal legislation (-= taxes levied)	0.11	0.33	0.00	-0.30	0.34
11. Sum of 9 and 10	-0.01	1.25	0.51	0.71	1.20
12. 11 expressed as a percentage of the previous year's G.N.P.	0.0	3.3	1.2	1.6	2.5

1) It should be noted that this table, drawn up by the Central Planning Bureau, makes no allowance for the effects of the spontaneous changes in public revenue resulting from the rise in national income and the graduated rate of taxation, nor for the fluctuations in the public debt.

2) Excluding contribution to the Civil Pension Fund of Fl. 300,000.

SOURCE : Central Planning Bureau.

and if it proves possible to prevent an over-steep rise in public expenditure, taxes will have to be reduced at fairly regular intervals so that the increase in revenue over a long period does not exceed the increase in expenditure. Some elasticity may be allowed in the exact timing of tax cuts, and by adjusting this timetable anti-cyclical action may be possible. Thus, the reductions in individual income tax and company taxes were several times deferred, and were not finally brought in until July 1962 and January 1963 respectively. The cut in income tax on working women, on the other hand, came into force as from January 1962.* The budget policy thus followed since 1961 seems, as a whole, to be acting in the desired direction, as the calculations of the Central Planning Bureau indicate that the stimulating effect of public finance has grown since that year.

Action on the volume of liquidity

30. Three instruments can be used to influence the volume of liquidity :

the management of the public debt,
the Monetary policy of the Central Bank,
international financial relations.

31. In 1960 and 1961, the central and local authorities issued long-term loans in excess of their financial needs. Public loans in those two years in fact amounted to fl. 3,400 million, and were fl. 2,000 million more than the total deficits to be covered. The amounts thus raised were mainly used to reduce the short-term indebtedness of the Government and municipalities, while their liquid assets were slightly increased. In 1962, this debt consolidation policy was interrupted, but the State continued the advance repayment of a part of the foreign national debt, as it had already done in 1961 and 1959. In all, fl. 450 million ($ 125 million) were repaid in advance in three years. The action undertaken in this field was, on the whole, effective.

32. The Central Bank has various classic means of acting on the monetary mechanism. A system of minimum reserves has been introduced, in agreement with the commercial banks, the discount rate can be raised or lowered as circumstances require, and lastly, the Central Bank influences the market by open market operations. In actual fact, the Central Bank holds only a small volume of negotiable paper, which limits its possible action on the market. As for the manipulation of the discount rate, this would seem to be mainly of psychological effect in a country where the banks normally hold ample resources and rediscount operations are on a small scale. In addition, the Netherlands authorities have tried to keep interest rates down to a relatively low level, to avoid attracting floating foreign capital. The discount rate was raised from 3.5 per cent to 4

* Apart from action affecting the main budget items, some specific actions should be noted, e.g. the reduction in 1960 of tax concessions to stimulate investment.

per cent in April 1962 but this was purely to reinforce their direct control of the volume of credit. When the control measures were suspended in January 1963, the discount rate was brought back to its former level. Lastly, the minimum reserve percentage fluctuates within fairly narrow limits, as under the existing agreements it must not exceed 10 per cent without prior consultation with the commercial banks; there is, moreover, an absolute ceiling of 15 per cent. It is, however, changed fairly frequently according to the state of the money market. In fact, the minimum reserve system, like other classic means of acting on the market, did not make it possible to follow a systematic policy of restricting liquidity as the commercial banks had very large short-term assets abroad, and the government wished to avoid the banks being induced to repatriate such assets by the inadequacy of their internal liquid holdings.* Consequently, other methods had to be employed to give more direct control of credit expansion and the resulting creation of liquidity.

33. By an agreement of July 1961 between the Central Bank and the commercial and agricultural credit banks, the Central Bank was empowered to fix the normal volume of credit to be granted to the private sector. It was first decided that current credit should not be increased by more than about 1 per cent per month, and the figure was reduced to 1/2 per cent per month with effect from 1st January 1962. If the banks exceeded the limit thus fixed they were to pay into a special account at the Central Bank non-interest-bearing sums corresponding to an agreed fraction of the excess credit. The banks in fact "broke the ceiling" during the first half-year, the peak figure being reached in April. Since the second half of 1962, however, current credit has remained below the limit fixed, and the Central Bank decided in January 1963 to suspend the regulation, although it may be brought back into force if circumstances again require.

34. The Netherlands authorities encouraged the reduction of the surplus on the balance of current payments up to 1961, when it was decided to revalue the guilder. This surplus is, in fact, first and foremost responsible for the creation of liquidity arising from external transactions, as occurred notably in 1959 and 1960. It was, however, further necessary to try to influence capital movements in the right direction. The policies of keeping short term interest rates relatively low, paying off the external debt in advance, and non-liquidation of the banks' assets abroad, already referred to, were in line with this effort. The government also tried to step up the outflow of capital by again authorising the issue of foreign securities on the Netherlands financial market in 1961. In that year, foreign issues amounted to fl. 537 million. They were again authorised in 1962, but to the amount of fl. 230 million only.

* This is why the minimum reserve percentage was not kept at the ceiling, but was lowered several times.

Table 5. BALANCE OF PAYMENTS

Millions of dollars

	1959	1960	1961	1962	1961 1st QTR	1961 2nd QTR	1961 3rd QTR	1961 4th QTR	1962 1st QTR	1962 2nd QTR	1962 3rd QTR	1962 4th QTR
Trade Balance (O.E.C.D. concept)	19	-117	-339	-259	-101	-110	- 27	-101	-143	- 94	-	- 22
Services (public and private sector)	450	444	520	437	164	69	147	140	108	52	117	160
Transfers (public and private sector)	- 1	19	7	3	-	6	- 1	2	2	- 1	1	1
Current balance (O.E.C.D. concept)	468	346	188	181	63	- 35	119	41	- 33	- 43	118	139
Long-term capital movements	- 48	41	-220	-157	- 47	- 70	- 53	- 50	-	31	- 20	-168
public capital (net)	- 95	- 33	- 93	- 65	- 15	- 60	- 4	- 14	- 4	- 14	- 4	- 43
private investment (net)	-205	- 68	- 70	- 35	- 18	- 13	- 7	- 32	16	- 9	13	- 29
other private capital movements (net)	252	142	- 57	- 57	- 14	3	- 42	- 4	- 12	54	- 3	- 96
Short-term capital movements, errors and omissions	-128	50	73	- 29	13	84	- 18	- 6	28	13	- 61	- 9
Overall balance (O.E.C.D. concept)	292	437	41	- 5	29	- 21	48	- 15	- 5	1	37	- 38
Counterpart of the overall balance :												
Official gold and foreign exchange assets (increase = +)	-107	349	- 29	21	- 21	23	- 14	- 17	29	48	- 16	- 40
International indebtedness of the Central Bank (increased indebtedness = -)	11	- 1	- 14	-	4	- 15	- 4	1	- 13	9	6	- 2
Net position in the I.M.F. (Increase = +).....	34	17	122	- 40	5	10	95	12	- 45	30	- 25	-
Net position of commercial banks (increase in foreign exchange assets = +)	354	70	- 38	14	41	- 39	- 29	- 11	24	- 86	72	4
TOTAL	292	437	41	- 5	29	- 21	48	- 15	- 5	1	37	- 38

SOURCE : The Netherlands Central Bank.

35. In 1959 and 1960 it was mainly the management of the public debt which limited the creation of liquidity at a time when the overall balance of payments surplus was continuing to increase. In 1961 the inflationary effects of the influx of foreign money were sharply checked while more credit was pumped into the economy. In 1962 a stronger curb was put on the expansion of credit and the balance of payments surplus continued to be fairly small, thus enabling a much more neutral policy to be adopted in the management of the public debt. By making use of a wide range of expedients, the authorities largely succeeded in controlling the creation of liquidity.

Table 6. FLUCTUATIONS IN LIQUID ASSETS

Millions of guilders

	1959	1960	1961	1962	1963
Creation of liquid assets in the public sector	-1,080	-1,280	- 500	220	
Government	- 730	- 820	- 260	- 120	
Local authorities ..	- 350	- 460	- 240	340	
Creation of liquid assets in the private sector	600	680	830	650	650
Miscellaneous causes of the creation of liquid assets	10	50	360	50	50
Total liquid assets created inside the country	- 470	- 550	690	920	700
Net sales of foreign exchange by the private and public sectors to the banks	1,380	1,710	270	480	220
Grand total of liquid assets created	910	1,160	960	1,400	920

SOURCES : Central Bank for 1959-61 and estimates of the Central Planning Bureau for 1962 and 1963.

Wage and price policy

36. Wage policy is one of the main factors of the Netherlands anti-cyclical policy and the wage level is one of the independent variables in the econometric model adopted by the Central Planning Bureau. In spite of the various modifications made in this policy, the authorities have in fact retained a measure of responsibility in fixing wage levels.

37. Early in 1959 a "controlled" wage policy was replaced by a "differential" policy which allowed wages in each industry to be adjusted mainly in relation to increased productivity in the sector in question. The arrangements for applying this system have been clarified on several occasions.

38. Under the rules as amended in November 1961 by agreement between the Government and the Labour Foundation*, wage increases must continue to be linked with long-term progress in productivity in each economic sector. General productivity trends in the current year were however also taken into account. The formula for calculating the margin available both for increasing wage rates and for improving secondary working conditions was expressed at that time as follows :

$$\frac{3a + b}{4}$$

where "a" represents long-term progress in productivity (normally over 9 years) in the branch in question and "b" the productivity increase calculated for the economy as a whole in 1962 (2 per cent).

39. Increasing opposition was however encountered from labour and management organisations, which criticised the system as amounting to excessive interference by the Government in the fixing of wages. The Government had in October 1960 asked the Economic and Social Council for its views on wage policy revisions. The council's views were submitted to the Government in July 1962. The Council proposed a change in the institutional framework of wage policy on the grounds that "increasing doubt is being expressed as to the economic validity of the labour productivity criterion, especially in the case of wages by sectors and firms. There is increasing unanimity in thinking that wage trends really depend on a large number of factors which are so diverse that they cannot be reduced to a single formula. Nor is the effect of these factors taken in isolation identical in all circumstances. In determining wages, these factors can best be appreciated in the first instance by private enterprise. But this means that private enterprise must have adequate freedom of action in this field".

40. At the end of November 1962 the Government approved the proposals of the Economic and Social Council. The principles of the new procedure are as follows :

- wage increases will no longer be determined by increased productivity in the sector, but account will be taken of the overall economic situation i.e. competitive position in relation to foreign countries, state of the labour market, trends in the balance of payments, overall productivity of the economy, etc.;

* The Labour Foundation is a joint body of Management and Labour Federations.

- the responsibility for fixing wages now rests primarily with the labour and management organisations although the public authorities still retain control of the operation.

41. However strict may be the schemes of control applied, the actual wage trend also depends on the international situation, i.e. the world economic situation, comparative costs in the Netherlands and the rest of the world and the impact of this situation on the Netherlands labour market. Table 7 below shows the extent of the wage drift when there is a shortage on the labour market. The Ministry of Social Affairs and Health stated that in 1961 the average percentage of "black" wages paid in industries employing a total of 400,000 workers amounted to 5.4 per cent. Since that date the practice of paying "black" rates has spread and in certain sectors where labour shortages are most acute e.g. building, "black" rates are particularly high. Efforts to relieve the strain on the labour market are thus seen to be the necessary complement of wages policy.

Table 7. WAGE TRENDS

(Percentage changes over the previous year)

	1959	1960	1961	1962	AVERAGE
1. Rates per worker[2)]...	2.1	9.5	5.3	8.0[1)]	6.2
2. Rates laid down in collective agreements...	2.1	8.8	3.5	6.8[1)]	5.3
3. Difference between 1 and 2 due to differences in definition	1.0	-1.2	-0.5	-0.3[1)]	-0.2
4. Wage drift (1-2-3)[2)]...	-0.1	1.9	2.3	1.5[1)]	1.2
5. Productivity per man/year[3)]	4.0	9.0	0	2.0	3.8
6. Labour costs per unit of production	-1.8	0.7	5.3	5.9	2.7
7. Consumer prices	1.0	1.8	1.4	2.5	1.7
8. Unemployment (as a percentage of the active wage-earning population).....	2.2	1.4	1.0	1.0	1.4

1) Estimates.
2) Excluding civil servants.
3) All workers.
SOURCES : Central Planning Bureau.

42. As part of the policy of price stabilisation in the Netherlands four rules have been formulated :

a) the only permissible price increases are those caused by external factors (rises in the price of raw materials) and, conversely, any reduction in raw material prices must be passed on to the consumer ;

b) profit margins must in any case remain at the same absolute level ;

c) wage increases may not be added to prices ;

d) all price increases must be notified to the Minister for Economic Affairs.

An Act which came into force in June 1961 gives the authorities the necessary powers to fix maximum prices, but these powers are rarely used, as cases of dispute are generally settled by agreement between the Ministry of Economic Affairs and the firm concerned. Rents and transactions in immovable property are not subject to this legislation.

43. Control is preventive in the case of certain vital products : the Ministry of Economic Affairs has to authorise any price increase. In the case of other products, controls are applied after the event. The Minister must be informed of any rise in prices. If he considers that a rise is not justified the industry responsible is invited to cancel its decision and in the event of refusal penalties may be inflicted.

44. In the main, controls appear to be comparatively effective. "Non autonomous" price increases have been fewer in the present phase of expansion than they were in 1953-1957. The trend has made it easier to resist wage increases and has ultimately helped to maintain Netherlands industry in a good competitive position despite the revaluation of the guilder and the slight progress in productivity in 1961 and 1962.

45. In comparison with many countries (particularly, as shown in Table 9 below, the United Kingdom, Sweden and France) the Netherlands have succeeded in the last ten years in fairly effectively limiting the upward trend in prices and unit labour costs. This result was achieved at a time when production was increasing considerably, unemployment rates were very low and the net contribution of foreign labour was very modest. In a number of countries (particularly Italy, United States, Switzerland and the Federal Republic of Germany) prices have admittedly been more stable than in the Netherlands but either these countries enjoyed abundant manpower reserves (due either to unemployment or considerable underemployment or a big influx of foreign labour), or the growth in their national product was very moderate.

Table 8. CONSUMER PRICE TRENDS

(Percentage changes over the previous year)

	1953	1954	1955	1956	1957	AVERAGE	1959	1960	1961	1962	1963	AVERAGE
Total change	-0.6	+4.3	+2.0	+2.0	+5.5	+2.6	+1.1	+2.2	+1.6	+2.5	+2.5[1]	+2.0
"Autonomous" variations												
Import prices	-3.0	-0.8	+0.5	+1.0	+1.4	-0.2	-0.9	-0.1	-0.4	-0.2	-	-0.3
Taxes increasing costs and subsidies to consumption	-0.4	-0.5	-0.7	-0.9	+0.6	-0.4	+0.2	+0.3	-	+0.2	-	+0.1
Rent increases	-	+0.9	+0.1	+0.1	+0.4	+0.3	-	+0.7	+0.2	+0.2	+0.3	+0.3
Non-autonomous fluctuations	+2.8	+4.7	+2.1	+1.8	+3.1	+2.9	+1.8	+1.3	+1.8	+2.3	+2.2	+1.9

1) Estimates by the Central Planning Bureau.

SOURCES : Sénat, session 1962-1963, "Memorie van Antwoord", Department of Economic Affairs

Specific measures

46. As already emphasized, some of the measures adopted under the Finance Act are specific. In particular the tax reliefs designed to promote increased investment were reduced in 1960. Similarly, various measures were adopted to curb hire purchase sales, which in the Netherlands represent 1 to 1.5 per cent of the G.N.P. The initial payment was increased and the total period of payment was reduced for the first time in September 1960. These measures were reinforced in August 1961.

Table 9. PRICES, UNIT LABOUR COSTS, G.N.P. AND UNEMPLOYMENT 1950-1960

	NETHERLANDS	FRANCE	ITALY	GERMANY (F.R.)	UNITED STATES	UNITED KINGDOM	SWEDEN
Consumer prices ...	2.8	6.0	2.4	2.3	2.0	3.4	4.0
Unit labour costs[1] ..	2.5	-	-	2.3	2.9[2]	4.9	-
Real average rates of growth of G.N.P.	5.0	4.3	5.8	7.4	2.9	2.6	3.5
Average level of unemployment as a percentage of the labour force	1.9	1.2	7.1	4.1	4.6	1.4	(1.8)

1) Unit labour costs are calculated in the Netherlands by dividing the index of rates per worker by the index of the product per man/year. An effort has been made to quote figures comparable with those of other countries but certain differences in definition may still exist.

2) Manufacturing only.

SOURCES : Statistical bulletins of the O.E.C.D. and national statistics.

47. An increasingly strict control is being exercised over building projects. A considerable proportion of the building of new dwellings, including Government assisted or subsidised dwellings, was already under Government control. But the free sector is now also controlled and since 1961 a licence has been required for the building of unsubsidised dwellings. Authorisation must be obtained when the value of any building exceeds 10 thousand guilders, which excludes any possibility of building suitable dwellings without licence. The rationing of building licences also extends to industrial buildings, which also makes it possible to exercise a certain indirect control on investment in machinery and plant.

III. CONCLUSIONS AND RECOMMENDATIONS

48. The tensions encountered in 1961 and the early months of 1962 have finally been removed. The Netherlands economy came through this period without any marked rise in prices, and with reasonable equilibrium in the balance of payments. A fresh start has been made since mid-1962 in conditions of satisfactory internal and external equilibrium.

49. Although production continues to expand steadily, the current downward trend in industrial investment gives rise to some concern. If this decline were to continue, the authorities would certainly have to abandon their present attitude of neutrality and take action to stimulate investment. Since overall equilibrium appears to be satisfactory measures to be taken now should preferably be selective.

50. The conditions in which the working week was reduced in 1961 are important. The sharp reduction was concentrated in a brief period in the middle of an expansionary phase, at a time when the shortage of labour was becoming acute. In terms of its effects on labour supply and unit labour costs the change could be regarded as unfortunate. On the other hand the introduction of the five-day week, so strongly favoured by wage-earners, took the place of a further wage increase and probably therefore had effects on demand which helped the cyclical adjustment desired by the authorities. At all events such difficulties as did occur were temporary and the economy is now well set for steady expansion. Admittedly, the output index is probably now moving along a lower curve than would be the case if labour input were greater, but greater leisure also constitutes an improvement in social well being which must not be overlooked.

51. The revaluation of the guilder in March 1961, which accompanied that of the Deutsche Mark, may be regarded as having been to some extent deflationary. Its object was to prevent an already precarious internal stability from being further upset by the rise in the prices of imported German goods. It also involved some reduction in the external surplus. The change in the exchange rate was too small to produce any marked effect on the economy in the short-run, but the Netherlands authorities believe that as a result of the change they are in a better position to protect the economy against the danger of importing inflation.

52. For some years now anti-cyclical policy in the Netherlands has been based on close study of the main economic forces; wide use is made of econometric analysis. The very elaborate model developed by the Central Planning Bureau is constantly being refined and the Netherlands are clearly among the leaders in this field. Present techniques, however, are not perfect; forecasts which to all appearances are soundly based are sometimes

upset by events, and further progress in econometrics is obviously desirable. Nevertheless, experience has convinced the Netherlands authorities that while the collection of a wider range of statistics and the more extensive use of mathematical analysis may not remove all uncertainties from forecasting, the use of an econometric model does permit them a more precise and vigorous examination of the direct and indirect effects of measures under consideration than is possible with the more traditional forms of analysis.

53. A national policy for wages and prices is among the more important of the instruments used in the Netherlands to guide the economy. Although rigid in its principles this policy has been applied in practice with considerable flexibility. The agreements reached between the workers' and employers' organisations and the authorities have greatly helped in putting it into effect : even though price stability has not always been perfectly maintained and the rise in wages has sometimes outstripped the rise in productivity, they have proved themselves to be much more effective in the long run than strict controls. The Netherlands authorities are seeking to achieve a number of objectives - internal stability, external equilibrium, full employment, etc. - no one of which is allowed to take precedence over the others. The success of the wages and prices policy cannot be judged therefore solely by reference to results in this particular sphere; it should be emphasized, moreover, that the Netherlands economy, almost completely open to external influences, has achieved a very creditable growth rate, and this without the advantage that some countries have enjoyed of being able to draw upon large reserves of manpower, and without running - except very occasionally - into balance of payments difficulties. Such a result could not have been achieved if wage and price pressures had not been effectively held in check.

54. In a country whose exports amount to 50 per cent of G.N.P. and which for structural reasons wishes to maintain a high level of investment abroad, the balance of payments is bound to be of constant concern to the authorities. External payments policy, however, is not treated in isolation, but is closely integrated into overall economic policy. Thus in 1961 when the economy was expanding, a decline in the surplus on current account was accepted and indeed encouraged, and this helped to check internal pressures. Control of capital movements has also been used so that the creation of liquidity within the economy could be influenced in the desired direction. Although the main object in re-opening the capital market to foreign securities was to achieve better internal equilibrium, it has also helped to improve external equilibrium. The economic policy of the Netherlands is thus framed in such a way that while trying to ensure the balanced growth of the domestic economy it in no way hampers the expansion of the world economy, itself one of the necessary conditions for the further progress of the Netherlands economy.

BLANK PAGE

STATISTICAL ANNEX

Table I. PRODUCTION, CONSUMPTION

	UNIT OR BASE	1960	1961	1962
Indices of industrial production[1]	1953 = 100 Monthly averages			
1. Total	Adjusted	157	159	165
2. Building materials[2]	not adjusted	129	132	134
3. Mining and quarrying	"	120	123	119
4. Manufacturing industries	"	160	166	166
5. Food, beverages and tobacco	"	130	132	
6. Textiles	"	118	123	
7. Basic metals	"	189	182	
8. Metal products	"	200	202	
9. Chemical	"	153		
Building activity[2]	Total for the period			
10. Buildings started	"	86,025	101,768	91,880
11. Buildings completed	"	83,815	82,687	78,375
12. Buildings in construction	Total, end of period	89,812	108,799	122,272
Gross investment in fixed assets[2]	Millions of guilders			
13. Private sector	Total for the period	8,243	8,839	
14. Public sector	"	1,725	1,963	
15. Total	"	9,968	10,802	
Consumption indices[1]	1953 = 100			
16. Volume of consumers expenditure	Monthly averages	140	146	
17. Retail sales	"	165	177	
Labour market[2]	1953 = 100			
Index of employment in manufacturing and mining industries	Average of the period			
18. Total	"	111	113	
19. Chemicals	"	128	132	
20. Mining	"	97	94	
21. Metal products	"	120	125	
22. Textiles	"	98	99	
23. Food	"	109	110	
24. Number of wage and salary earners in industry	Thousands of end of period	1,053	1,082	
Unemployment[3]	Thousands			
25. Male	Average of the period	36.8	27.3	25.7
26. Female		4.5	4.1	4.6
27. Total	"	41.3	31.4	30.3
28. Male unemployment (adjusted for seasonal variations)[1]	"			
Jobs vacant[2]	Thousands end of period			
29. Male	"	56.2	77.4	
30. Female	"	36.1	41.1	
31. Total	"	92.3	118.5	
32. Total (adjusted for seasonal variations)	"	92	119	122

NOTES OF TABLES I TO IV :

1) O.E.C.D. Statistical Bulletin.
2) Maandschrift van het Centraal Bureau voor de Statistiek.
3) Sociale Maandstatistiek van het Centraal Bureau voor de Statistiek.
4) International Financial Statistics.
5) Maandstatistiek van het Financiewezen van het Centraal Bureau voor de Statistiek.

1961				1962			
1st QTR	2nd QTR	3rd QTR	4th QTR	1st QTR	2nd QTR	3rd QTR	4th QTR
163	160	155	162	166	165	163	166
121	144	138	127	116	145	143	134
128	124	117	124	116	119	119	127
159	163	155	164	163	168	162	171
118	136	131	144	119	139	136	
128	119	120	124	126	120	117	
192	188	163	186	195	191	180	
202	206	198	201	212	215	204	
160	160						
23,359	29,906	25,188	23,315	19,285	22,425	24,860	25,310
16,910	20,980	20,345	24,452	15,040	19,676	19,253	24,381
96,243	105,104	109,945	108,799	113,040	115,785	121,370	122,272
2,035	2,417	2,159	2,228	2,082	2,539	2,317	
389	495	516	563	365	544	594	
2,424	2,912	2,675	2,791	2,447	3,083	2,911	
137	145	146	155	140	153	152	
163	176	176	194	171	193	188	
112	112	114	114	114	114	115	
130	130	133	135	136	136	138	
95	95	93	92	92	93	92	
123	123	126	127	127	127	128	
98	98	99	99	98	96	97	
107	109	113	110	109	110	112	
1,071	1,070	1,094	1,095	1,102	1,096	1,113	
38.1	20.4	21.3	29.3	31.8	19.3	21.3	30.2
4.0	2.9	4.7	4.6	4.3	3.4	5.4	5.4
42.1	23.3	26.0	33.9	36.1	22.7	26.7	35.6
32	31	32	30	28	30	33	32
66.0	91.8	86.7	71.2	77.6	98.5	89.7	69.3
39.9	47.6	41.4	36.6	38.4	43.4	37.3	33.8
105.9	139.4	128.1	107.8	116.0	141.9	127.0	103.1
109	118	122	121	123	125	121	117

Table II. PRICES

	UNIT OR BASE	1960	1961	1962
1. Wholesale price index	1953 = 100	103	103	104
2. Cost of living index	Monthly averages	121	124	127
3. Hourly rate index	"	159	168	183

Table III. MONEY

	UNIT OR BASE	1960	1961	1962
1. Money supply[1]	Millions of guilders end of period	11,312	12,179	13,147
Credit granted by the banks [4]				
2. to the private sector	"	6,360	7,580	8,680
3. to the central Government	"	4,950	5,120	5,390
4. to the local governments	"	800	920	930
Deposits with the commercial banks[1]				
5. Total	"	7,547	7,878	8,476
6. of which : sight deposits	"	3,574	3,738	3,879
Interest rates[5]	Percentage			
7. Rediscount	End of period	3.50	3.50	4.00
8. Call money rate	Average of the last month of period	1.13	1.11	1.24
9. Rate on 3 months Treasury bonds		1.51	1.32	1.98
Bond yields[5]				
10. On 2.5 and 3 per cent Government irredeemable debt	End of period	4.33	4.22	4.37
11. On 3.5 per cent industrial bonds	"	4.24	4.18	4.42

Table IV. FOREIGN

	UNIT OR BASE	1960	1961	1962
1. Gold and foreign assets held by the Central Bank	Millions of U.S. $ end of period	1,742	1,715	1,743
Foreign Trade	Millions of U.S. $			
2. Imports c.i.f.	monthly average	378	426	446
3. Exports f.o.b.	"	336	359	381
4. Balance	"	-42	-67	-65
5. Imports c.i.f.	Monthly average adjusted for seasonal variations			
6. Exports f.o.b.				
Volume indices	1953 = 100			
7. Imports	Monthly averages	198	215	224
8. Exports	"	188	195	207
9. Terms of trade	"	102	101	103

AND WAGES[1)]

1961				1962			
1st QTR	2nd QTR	3rd QTR	4th QTR	1st QTR	2nd QTR	3rd QTR	4th QTR
103	102	103	103	103	105	102	103
122	122	123	124	125	127	127	128
163	166	171	172	177	181	184	191

AND BANKING

1961				1962			
1st QTR	2nd QTR	3rd QTR	4th QTR	1st QTR	2nd QTR	3rd QTR	4th QTR
11,551	12,037	11,945	12,179	11,897	12,610	12,673	13,147
6,820	6,800	7,150	7,580	7,990	8,160	8,320	8,680
4,700	5,020	5,270	5,120	4,870	5,190	5,250	5,390
850	860	910	920	680	790	880	930
8,208	8,256	8,221	7,878	8,420	8,717	8,704	8,476
3,803	3,999	3,871	3,738	3,752	3,952	3,968	3,879
3.50	3.50	3.50	3.50	3.50	4.00	4.00	4.00
0.75	0.75	0.95	1.11	1.59	1.69	1.10	1.24
1.03	0.88	1.00	1.32	1.81	2.32	1.57	1.98
4.24	4.06	4.27	4.22	4.29	4.48	4.40	4.37
3.97	3.83	3.93	4.18	4.13	4.40	4.32	4.42

TRADE [1)]

1961				1962			
1st QTR	2nd QTR	3rd QTR	4th QTR	1st QTR	2nd QTR	3rd QTR	4th QTR
1,668	1,700	1,723	1,715	1,745	1,795	1,781	1,743
431	422	407	444	459	440	433	451
359	340	361	376	372	372	371	412
-72	-82	-46	-68	-87	-68	-62	-39
430	419	420	440	453	442	449	442
365	352	366	357	375	390	379	386
217	210	205	224	229	219	220	230
200	185	196	203	205	200	201	222
102	103	103	102	103	105	102	104

O.E.C.D. SALES AGENTS
DEPOSITAIRES DES PUBLICATIONS DE L'O.C.D.E.

ARGENTINA - ARGENTINE
Editorial Sudamericana S.A.,
Alsina 500, BUENOS AIRES.

AUSTRALIA - AUSTRALIE
B.C.N. Agencies Pty. Ltd.,
62 Wellington Parade, East
MELBOURNE, C.2.

AUSTRIA - AUTRICHE
Gerold & Co., Graben 31, WIEN I.
Sub-Agent : GRAZ : Buchhandlung Jos.
A. Kienreich, Sackstrasse 6.

BELGIUM - BELGIQUE
N.V. Standaard-Boekhandel,
Huidevettersstraat 57, ANTWERPEN.
Librairie des Sciences (R. Stoops),
76-78, Coudenberg, BRUXELLES.

BRAZIL - BRESIL
Livraria Agir Editôra,
Rua Mexico 98-B, RIO DE JANEIRO.

CANADA
Queen's Printer - Imprimeur de la Reine,
OTTAWA.
Prepayment of all orders required.
Les commandes sont payables d'avance.

CUBA
La Casa Belga, O'Reilly 455, HAVANA.

DENMARK - DANEMARK
Ejnar Munksgaard Forlag, Nörregade 6,
KOBENHAVN.

FINLAND - FINLANDE
Akateeminen Kirjakauppa, Keskuskatu 2,
HELSINKI.

FRANCE
Presses Universitaires de France,
108, boulevard Saint-Germain, Paris (6e).

GERMANY - ALLEMAGNE
Deutscher Bundes-Verlag
Postfach 9380, 53 BONN
Sub-Agents : BERLIN: Elwert & Meurer.
MUNCHEN : Hueber. HAMBURG : Reuter-Klöckner; und in den massgebenden Buchhandlungen Deutschlands.

GREECE — GRECE
Librairie Kauffmann, 21, rue du Stade,
ATHENES.

ICELAND - ISLANDE
Snæbjörn Jonsson & Co. h.f.
Hafnarstræti 9,
P.O. Box 1131, REYKJAVIK.

INDIA - INDE
International Book House Ltd.
9 Ash Lane, Mahatma Gandhi Road,
BOMBAY I.
Oxford Book and Stationery Co.,
NEW DELHI, Scindia House.
CALCUTTA, 17 Park Street.

IRELAND - IRLANDE
Eason & Son, 40-41 Lower O'Connell
Street, DUBLIN.

ISRAEL
Blumstein's Bookstores Ltd.,
35 Allenby Road, and 48 Nahlath Benjamin St., TEL-AVIV.

ITALY - ITALIE
Libreria Commissionaria Sansoni,
Via Gino Capponi 26, FIRENZE.
Via Paolo Mercuri 19/B, ROMA, Corso
Cavour 93, BARI.
P.E.M., Corso di Porta Romana 87/B,
MILANO.
Sous-Dépositaires : GENOVA: Libreria Di Stefano. MILANO : Libreria Hœpli. NAPOLI : Libreria L. Cappelli. PADOVA : Libreria Zannoni. PALERMO : Libreria C. Cicala Inguaggiato. ROMA : Libreria Rizzoli, Libreria Tombolini. TORINO : Libreria Lattes.

JAPAN - JAPON
Maruzen Company Ltd.,
6 Tori Nichome Nihonbashi, TOKYO.

LUXEMBOURG
Librairie Paul Bruck, 33, Grand'Rue,
LUXEMBOURG.

MOROCCO - MAROC
B.E.P.I., 8, r. Michaux-Bellaire, RABAT.

THE NETHERLANDS - PAYS-BAS
Wholesale Agent : Meulenhoff & Co., N.V.
Importeurs, Beulingstr., 2, AMSTERDAM.
Principal Retailer : W.P. Van Stockum &
Zoon, Buitenhof 36, DEN HAAG.

NEW ZEALAND - NOUVELLE ZELANDE
Government Printing Office,
20 Molesworth Street (Private Bag)
WELLINGTON and Government
Bookshops at Auckland (P.O.B. 5344)
Christchurch (P.O.B. 1721)
Dunedin (P.O.B. 1104)

NIGERIA
University Bookshop Nigeria Ltd.,
University College, IBADAN.

NORWAY - NORVEGE
A/S Bokhjornet, Lille Grensen 7, OSLO.

PAKISTAN
Mirza Book Agency,
9-A Shah Alam Market, LAHORE.

PORTUGAL
Livraria Portugal, Rua do Carmo 70,
LISBOA.

SOUTH AFRICA - AFRIQUE DU SUD
Van Schaik's Book Store Ltd.,
Church Street, PRETORIA.

SPAIN - ESPAGNE
Mundi Prensa, Castelló 37, MADRID.
Libreria Bosch, Ronda Universidad 11,
BARCELONA.

SWEDEN - SUEDE
Fritzes. Kungl. Hovbokhandel,
Fredsgatan 2, STOCKHOLM 16.

SWITZERLAND - SUISSE
Librairie Payot, 40, rue du Marché, GENEVE. et à LAUSANNE, NEUCHATEL, VEVEY, MONTREUX, BERNE, BALE et ZURICH.

TURKEY - TURQUIE
Librairie Hachette, 469 Istiklal Caddesi,
Beyoglu, ISTANBUL.

UNITED KINGDOM and CROWN COLONIES - ROYAUME-UNI
H.M. Stationery Office, P.O. Box 569,
LONDON, S.E.I.
Branches at :
EDINBURGH, BIRMINGHAM, BRISTOL,
MANCHESTER, CARDIFF, BELFAST.

UNITED STATES OF AMERICA
O.E.C.D. Regional Office,
Suite 1223, 1346 Connecticut Ave N.W.,
WASHINGTON 6, D.C.

YUGOSLAVIA - YOUGOSLAVIE
Jugoslovenska Kniga, Marsala Tita, 23,
P.O.B. 36, BEOGRAD.

Les commandes provenant de pays où l'O.C.D.E. n'a pas encore désigné de dépositaire peuvent être adressées à :
O.C.D.E., Bureau des Publications, 2, rue André-Pascal, Paris (16e)

Orders and inquiries from countries where sales agents have not yet been appointed may be sent to **O.E.C.D., Publications Office, 2, rue André-Pascal, Paris (16e)**

O.E.C.D. PUBLICATIONS, 2, rue André-Pascal, Paris-16e — No. 15973/April 1963

PRINTED IN FRANCE

ECONOMIC SURVEYS BY THE OECD

Following the practice established since 1954 by the O.E.E.C., the O.E.C.D. is publishing annual economic surveys for each Member country, and for Yugoslavia.

Surveys will be published in the following order between November 1962 and August 1963:

UNITED STATES
CANADA
PORTUGAL
ICELAND
GERMANY
TURKEY
SWITZERLAND
DENMARK
GREECE
AUSTRIA
IRELAND
YUGOSLAVIA
SWEDEN
SPAIN
NETHERLANDS
BELGIUM AND LUXEMBOURG
ITALY
UNITED KINGDOM
NORWAY
FRANCE

Surveys were last issued for these countries, except Turkey and Portugal, between November 1961 and September 1962.

PRICE 3 s. $ 0,50 F 2 FS 2 DM 1,70